> and this is not out of injured vanity but because it is high time that an offence to public morals should be removed and I don't want the collapse of this silly RB to arise because of the crookedness of a white man.'[48]

Taylor was somewhat alarmed by this epistolary broadside against Smith and told Grigg that he still believed that Smith was interested with cooperating with him (Grigg) and that he was not encouraging Rangaswami 'if as I suppose, that little ruffian is writing his usual tosh'. Taylor said that Smith was seriously embarrassed by this sort of thing the last year and tried to have it stopped. But he also added: 'But I would not put the other beyond him, by any means, for he is not a scrupulous fighter.'[49]

Regardless of whether Smith wanted to cooperate with Grigg or otherwise, Grigg's reservations about Smith's financial rectitude were confirmed by Walter Craddock, the senior partner of the Calcutta based stock broking firm of Place, Siddons, and Gough who confirmed that Smith 'sold about five times as much as he bought.'[50] By far the most damning evidence against Smith in regard to his financial malfeasance was contained in a report of the Calcutta branch of the Central Intelligence Bureau as early as December 1935. The investigative agency had started its work after frequent and erratic fluctuations in the share prices of the RBI led to rumours that a certain official (Smith) had been in cahoots with a few businessmen (Badridas Goenka and Mangiram Bangur) and they had all shared in the profits. It was also rumoured that Rangaswami was given secret information by Smith which he used to make money. The agency interviewed two Directors of the RBI Eastern Local Board, Amar Krishna Ghose and S.C. Mitra. The two revealed some startling facts. Mitra while commenting on Smith's role had said 'this is not impossible'. More importantly he also spilt the beans on Grigg's predecessor Sir George Schuster's dubious financial dealings. He said that rumours had been rife that Schuster had made a lot of money by giving tips, citing how B.M. Birla (President of the Eastern Local Board) had made a profit of ₹50 lakhs from a tip he got from Schuster regarding duty on silver. Ghose confirmed that Smith made money through Craddock's firm and through Mangiram Bangur.[51]